

25VECV01308 25VECV01308

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25VECV01308: MICHAEL YOAKUM, et al. vs ARROWHEAD
FINANCIAL GROUP, A GENERAL PARTNERSHIP, et al.

[TENTATIVE] ORDER:

PLAINTIFF MICHAEL YOAKUM'S Motion for Protective Order

Introduction

Plaintiff moves the Court for a protective order on the discovery propounded by Defendant Arrowhead Financial Group ("Arrowhead"). More specifically, Plaintiff moves the Court for an order staying all discovery propounded by Arrowhead pending resolution of the standing issue, an order requiring Arrowhead to establish its standing and an order finding Arrowhead lacks standing to propound discovery because they failed to register as a foreign entity. In the alternative, Plaintiff moves for an order extending Plaintiff's time to respond to Arrowhead's discovery.

On June 25, 2026, Arrowhead filed an opposition. On June 30, 2026, Plaintiff filed a reply. Later, the court allowed a sur-reply to new issues.

Procedure

Meet and Confer

A motion for a protective order under Code of Civil

Procedure, section 2030.090 must be accompanied by a meet and confer

declaration.(Code Civ. Proc., § 2030.090, subd. (a).) The Declaration must state facts showing a

reasonable and good faith attempt at an informal resolution of each issue presented in the motion. (Code Civ. Proc., § 2016.040.)

Here, Plaintiff's counsel, Levi Uku, declares on March 17, 2026, that he attempted to meet and confer with Arrowhead's counsel, Jacob Reich. (Uku Decl., par. 10, Ex. A.) However, Mr. Reich declares, Mr. Uku never mentioned the issue of a protective order on the basis that Arrowhead is allegedly a foreign entity. (Reich Decl., pars. 42, 45.) Mr. Reich declares the March 17, 2026, email was about the other case between these parties (LASC Case No. 23VECV01606). (Reich Decl., par. 42, Exs. L and M.) Mr. Reich declares he sent the first meet and confer letter pertaining to this case (LASC Case No. 25VECV01308), on March 24, 2026. (Reich Decl., par. 44, Ex. E.)

The Court finds the meet and confer requirement has not been satisfied. Email communications are insufficient to satisfy the meet and confer requirement. However, the Court will exercise its discretion and hear the motion on the merits in the interest of judicial efficiency.

Discussion

A party on whom discovery has been propounded may seek a protective order when necessary to protect "from unwarranted annoyance, embarrassment, or oppression, or undue burden and expense." (Code Civ. Proc., § 2030.090.) "The Court, for good cause shown, may make any order that justice requires to protect any party or other natural person or organization from unwarranted annoyance, embarrassment, or oppression, or undue burden and expense." (Code Civ. Proc., § 2030.090, subd. (b) [interrogatories]; Code Civ. Proc., § 2031.060, subd. (b) [production of documents]; Code Civ. Proc., § 2033.080 [requests for admissions].) Sections 2030.090, 2031.060, and 2033.080 provide a nonexclusive list of directions that may be included in a protective order. (Ibid.)

Promptness

The Civil Discovery Act imposes a promptness requirement for motions for protective order but does not define a fixed deadline. (Code Civ. Proc. § 2031.060 [production of documents]; Code Civ. Proc. § 2030.090 [interrogatories]; Code Civ. Proc. § 2033.080 [requests for admissions].)

Here, the discovery that is the subject of this Motion for Protective Order was served on February 7, 2026, and February 8, 2026. (Reich Decl., ¶ 5-8.) On March 2, 2026, Plaintiff served responses to the requested discovery. (Reich Decl., ¶ 9.) Plaintiff filed the instant motion on April 13, 2026. The Court finds that the instant motion was brought promptly and will hear the motion on its merits.

Arrowhead's Standing

Plaintiff argues Arrowhead does not have standing to participate in the litigation and propound discovery because Arrowhead is a foreign entity not registered in California and did not register as a fictitious business name. First, Plaintiff cites authority that foreign limited liability companies must register with the Secretary of State before conducting business in California. (Mot., p. 5, par. 25-28; see Corp. Code section 2105; see also Corp. Code Sections 17450-17457.) However, Plaintiff cites no authority requiring general partnerships to register with the Secretary of State. Even if Plaintiff could cite such authority, Arrowhead is registered to do business in California, attached as Exhibit P to Arrowhead's opposition is the Certificate of Good Standing General Partnership. (Opp., Ex. P.) It shows that Arrowhead was recognized under the laws of the State of California on June 6, 2008. (Opp., Ex. P.) Plaintiff's complaint also states, "Defendant Arrowhead Financial Group, a general partnership established under the laws of the State of California . . ." (FAC., par. 8.) Plaintiff's current allegation that Arrowhead is not registered is both incorrect and contradictory. Therefore, the Court finds Arrowhead is registered in California.

Next, Plaintiff argues that Arrowhead Financial Group lacks legal capacity because it failed to register as a fictitious business name under California Business and Professions Code section 17910. Plaintiff argues that Business and Professions Code section 17918 bars Arrowhead's participation in this action. To demonstrate Arrowhead Financial Group has not been registered as a fictitious business name, Plaintiff's counsel went ahead and registered the fictitious business name, Arrowhead Financial Group himself. (Uku par. 7, Exs. B, C.) Plaintiff now argues that any cure is impossible as a practical and legal matter. (Reply, pg. 4, ln. 11-13.)

California Business and Professions Code section 17918 prohibits a non-compliant party from maintaining an action on a contract made, not from propounding discovery in an action in which they have been named as a

defendant. The statute's underlying rationale is that "noncompliance merely prevents a fictitiously named business from enforcing obligations owed to it until it places on record its true nature and ownership." (Villareal v. LAD-T, LLC (2022) 84 Cal.App.5th 446, 457 (quoting Hydrotech Systems, Ltd. v. Oasis Waterpark (1991) 52 Cal.3d 988, 1001, fn. 8) (emphasis in original).)

The Court finds that Arrowhead's failure to file a fictitious business name statement with the County Recorder does not bar them from propounding discovery in this action. Arrowhead is a named defendant and is not maintaining an action based on contract. Plaintiff cannot now claim Arrowhead is barred from propounding discovery after Plaintiff chose to name Arrowhead as a defendant under their fictitious business name. (FAC., par. 8.) Therefore, California Business and Professions Code section 17918 does not bar Arrowhead from propounding discovery.

In reply, Plaintiff argues, for the first time, the federal court order (United States v. Michael Henschel, et al., Case No. CR17-00350 VAP (C.D. Cal. 2017)) bars Michael Henschel, Carlos Velasquez, and Camerino Islas, the individuals who constitute Arrowhead's partnership, from associating with or communicating with each other, and thus the partnership has been dissolved by operation of law. (Reply, pg. 7-8, Ex. A, Clauses 5, 6, 8, 9.)

"The general rule of motion practice, which applies here, is that new evidence is not permitted with reply papers." (Jay v. Mahaffey (2013) 218 Cal.App.4th 1522, 1537.) Here, Plaintiff introduces new evidence in his reply which was not provided in his motion for protective order. Namely, Plaintiff submits evidence that the federal criminal case prevents the partners from communicating with one another. (Reply, Ex. A.) Plaintiff argues the court order has made the partnership legally impossible to carry on and thus Arrowhead has been dissolved.

The Courts have recognized exceptions to the general rule.

The gap filler exception permits a moving party to submit reply evidence that fills gaps in the original evidence created by the opposition. (Jay, supra, 218 Cal.App.4th at p. 1538.) This exception does not apply here because Plaintiff's reply introduces a new factual basis for the motion, rather than supplementing or clarifying evidence already in the record. If the Court permits the use of additional evidence in the reply, "the other party should be given the opportunity to respond." (Jay, supra, 218 Cal.App.4th at p. 1537-1538.) Therefore,

a sur-reply was allowed and considered.

Under Corporation Code section 16802, subdivision (a), a partnership continues after dissolution only for the purpose of winding up its business, and the partnership is not terminated until the winding up of its business is completed. Corporation Code section 16803, subdivision (c) provides that a person winding up a partnership's business may prosecute and defend actions and proceedings, whether civil, criminal, or administrative, settle and close the partnership's business, discharge the partnership's liabilities, and perform other necessary acts. Plaintiff has not shown that winding up has been completed, thus Arrowhead has not ceased to exist as a legal entity. Furthermore, Plaintiff has provided no legal authority that states a dissolved partnership cannot defend themselves in litigation and propound discovery. Again, Plaintiff named the partnership as a defendant in this action, he cannot now claim the partnership doesn't exist to prevent Arrowhead from participating in discovery.

Accordingly, Plaintiff's motion for a protective order is DENIED. Plaintiff's request for an order extending time to respond to Defendant Arrowhead's discovery requests is DENIED.

IT IS SO ORDERED, PLAINTIFF TO GIVE NOTICE.